BAMBURI CEMENT LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2001

Table of Contents **Page No**

The directors submit their report together with the audited financial statements for the year ended 31 December 2001 which disclose the state of affairs of the group and the company.

INCORPORATION AND REGISTERED OFFICE

The company is incorporated in Kenya under the Companies Act and is domiciled in Kenya. The address of its registered office is:

New Mombasa-Malindi Road
PO Box 90202
MOMBASA

PRINCIPAL ACTIVITIES

The group is primarily engaged in the manufacture and sale of cement and cement related products. The group also owns and manages a world class nature and environmental park developed from rehabilitated quarries.

RESULTS AND DIVIDEND

The net profit for the year of Shs 731 million has been added to retained earnings. During the year an interim dividend of Shs 136 million (2000: Shs 91 million) was paid. The directors recommend the approval of a final dividend of Shs 272 million (2000: Shs 181 million).

FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The group's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance within the options available in Kenya to hedge against such risks.

The company has policies in place to ensure that sales are made to customers with an appropriate credit history.

DIRECTORS

The directors who held office during the year and to the date of this report were:

R Kemoli	Chairman
JC Hillenmeyer	
SW Karanja	
GCD Groom	
JC Kulei	(Alternate WK Sambu)
JM Konzolo	
I Coulter	
T Hadley	
D Tresarrieu	(Managing)
JM Shiganga	
RM Thyaka	
R Roy	
M Ngunze	
A LeMeur	(Retired on 28 February 2002); (alternate M Voegeli)

AUDITORS

The company's auditors, PricewaterhouseCoopers, continue in office in accordance with Section 159(2) of the Companies Act.

By order of the Board

BA Oluoch
Company Secretary
28 February 2002

The Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the group and of the company as at the end of the financial year and of the group's profit or loss. It also requires the directors to ensure that the group keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the group. They are also responsible for safeguarding the assets of the group.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Accounting Standards and the requirements of the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and of the company and of the group's profit. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the twelve months from the date of this statement.

Director

Director

28 February 2002

REPORT OF THE AUDITORS TO THE MEMBERS OF BAMBURI CEMENT LIMITED

We have audited the financial statements set out on pages 5 to 31. We have obtained all the information and explanations that to the best of our knowledge and belief were necessary for the purposes of our audit. The company's balance sheet is in agreement with the books of account.

Respective responsibilities of directors and auditors

The directors are responsible for the preparation of financial statements as set out on page 3. Our responsibility is to express an independent opinion on the financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement. An audit includes an examination, on a test basis, of evidence supporting the amounts and disclosures in the financial statements. It also includes an assessment of the accounting policies used and significant estimates made by the directors, as well as an evaluation of the overall presentation of the financial statements.

Opinion

In our opinion proper books of account have been kept and the financial statements give a true and fair view of the state of the financial affairs of the group and of the company at 31 December 2001 and of the profit and cash flows of the group for the year then ended and comply with International Accounting Standards and the Kenyan Companies Act.

Certified Public Accountants — 28 February 2002
Nairobi

Consolidated profit and loss account

	Notes	2001 Shs million	2000 Shs million
Sales	1	8,894	7,710
Other operating income		37	103
		8,931	7,813
Change in inventory of finished goods		61	(54)
Raw materials and consumables		(4,174)	(3,950)
Staff costs	3	(1,091)	(925)
Depreciation and amortisation		(753)	(794)
Restructuring expenses	13	(65)	(81)
Other operating expenses		(1,352)	(1,121)
Operating profit	2	1,557	888
Finance costs	4	(217)	(401)
Profit before tax		1,340	487
Tax	5	(553)	(117)
Profit after tax		787	370
Minority interest	10	(56)	(81)
Profit attributable to shareholders		731	289
Earnings per share – basic	6	Shs 2.01	Shs 0.80
– diluted	6	Shs 2.01	Shs 0.80
Dividends:			
Interim dividend – paid in the year	7	136	91
Proposed final dividend for the year	7	272	181
		408	272

Consolidated balance sheet

	Notes	2001 Shs million	2000 Shs million
CAPITAL EMPLOYED			
Share capital	8	1,815	1,815
Capital redemption reserve		2	2
Revaluation reserve	9	4,113	3,222
Fair value reserve		(14)	-
Retained earnings		4,281	3,764
Proposed dividend	7	272	181
Translation reserve		(51)	(3)
Shareholders' funds		10,418	8,981
Non-current liabilities			
Minority interest	10	518	196
Borrowings	11	357	1,185
Deferred tax	12	2,513	1,736
Provision for liabilities and charges	13	180	151
		3,568	3,268
		13,986	12,249
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	14	11,946	9,820
Capital work in progress	15	135	375
Investments in subsidiaries	16	2	5
Other equity investments	17	373	394
Goodwill arising on consolidation	18	367	417
		12,823	11,011
Current assets			
Inventories	19	1,602	1,526
Receivables and prepayments	20	755	1,127
Tax recoverable		85	60
Cash and cash equivalents	21	332	413
		2,774	3,126
Current liabilities			
Payables and accrued expenses	22	821	939
Current tax		104	2
Borrowings	11	671	938
Provision for liabilities and charges	13	15	9
		1,611	1,888
Net current assets		1,163	1,238
		13,986	12,249

The financial statements were approved for issue by the board of directors on 28 February 2002 and signed on its behalf by:

____________________ ____________________

Director Director

Company balance sheet

	Notes	2001 Shs million	2000 Shs million
CAPITAL EMPLOYED			
Share capital	8	1,815	1,815
Capital redemption reserve		2	2
Revaluation reserve	9	3,456	3,222
Fair value reserve		(14)	-
Retained earnings		4,258	3,863
Proposed dividend	7	272	181
Shareholders' funds		9,789	9,083
Non-current liabilities			
Borrowings	11	235	688
Deferred tax	12	1,952	1,762
Provision for liabilities and charges	13	170	141
		2,357	2,591
		12,146	11,674
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	14	8,969	8,301
Capital work in progress	15	68	231
Investments in subsidiaries	16	968	968
Other equity investments	17	373	394
Due from subsidiaries		311	636
		10,689	10,530
Current assets			
Inventories	19	1,213	1,067
Receivables and prepayments	20	844	1,366
Tax recoverable		-	44
Cash and cash equivalents	21	253	100
		2,310	2,577
Current liabilities			
Payables and accrued expenses	22	570	683
Current tax		104	-
Borrowings	11	164	741
Provision for liabilities and charges	13	15	9
		853	1,433
Net current assets		1,457	1,144
		12,146	11,674

The financial statements were approved for issue by the board of directors on 28 February 2002 and signed on its behalf by:

Director | Director

Consolidated statement of changes in equity

Year ended 31 December 2000	**Notes**	**Share capital Shs million**	**Capital redemption reserve Shs million**	**Revaluation reserves Shs million**	**Retained earnings Shs million**	**Proposed dividend Shs million**	**Translation reserve Shs million**	**Total Shs million**
At start of year		1,815	2	3,616	3,490	181	-	9,104
Underprovision for deferred tax in prior years		-	-	(137)	-	-	-	(137)
Depreciation transfer		-	-	(367)	367	-	-	-
Deferred tax on depreciation transfer		-	-	110	(110)	-	-	-
Translation loss		-	-	-	-	-	(3)	(3)
Net gains/(losses) not recognised in income statement		-	-	(394)	257	-	(3)	(140)
Profit attributable to shareholders		-	-	-	289	-	-	289
Dividends:								
-final for 1999	7	-	-	-	-	(181)	-	(181)
-interim for 2000	7	-	-	-	(91)	-	-	(91)
-proposed final for 2000	7	-	-	-	(181)	181	-	-
At end of year		1,815	2	3,222	3,764	181	(3)	8,981

Consolidated statement of changes in equity (continued)

	Notes	Share capital Shs million	Capital redemption reserve Shs million	Revaluation reserves Shs million	Fair value reserve Shs million	Retained earnings Shs million	Proposed dividend Shs million	Translation reserve Shs million	Total Shs million
Year ended 31 December 2001									
At start of year									
- as previously reported		1,815	2	3,222	-	3,764	181	(3)	8,981
- effect of adopting IAS 39		-	-	-	(73)	-	-	-	(73)
- as restated		1,815	2	3,222	(73)	3,764	181	(3)	8,908
Revaluation of land and buildings, plant and machinery		-	-	1,953	-	-	-	-	1,953
Deferred tax on revaluation surplus		-	-	(586)	-	-	-	-	(586)
Depreciation transfer		-	-	(276)	-	276	-	-	-
Deferred tax on depreciation transfer		-	-	83	-	(83)	-	-	-
Revaluation surplus released on disposal		-	-	(2)	-	2	-	-	-
Deferred tax on disposals		-	-	1	-	(1)	-	-	-
Minority interest share of net revaluation surplus of subsidiary	10	-	-	(282)	-	-	-	-	(282)
Translation loss		-	-	-	-	-	-	(48)	(48)
Fair value gain		-	-	-	59	-	-	-	59
Net gains/(losses) not recognised in income statement		-	-	891	59	194	-	(48)	1,096
Profit attributable to shareholders		-	-	-	-	731	-	-	731
Dividends:									
-final for 2000	7	-	-	-	-	-	(181)	-	(181)
-interim for 2001	7	-	-	-	-	(136)	-	-	(136)
-proposed final for 2001	7	-	-	-	-	(272)	272	-	-
At end of year		1,815	2	4,113	(14)	4,281	272	(51)	10,418

Company statement of changes in equity

	Notes	Share capital Shs million	Capital redemption reserve Shs million	Revaluation reserves Shs million	Retained earnings Shs million	Proposed dividend Shs million	Total Shs million
Year ended 31 December 2000							
At start of year		1,815	2	3,616	3,294	181	8,908
Underprovision for deferred tax in prior years		-	-	(137)	-	-	(137)
Depreciation transfer		-	-	(367)	367	-	-
Deferred tax on depreciation transfer		-	-	110	(110)	-	-
Net gains/(losses) not recognised in income statement		-	-	(394)	257	-	(137)
Net profit after tax		-	-	-	584	-	584
Dividends:							
-final for 1999	7	-	-	-	-	(181)	(181)
-interim for 2000	7	-	-	-	(91)	-	(91)
-proposed final for 2000	7	-	-	-	(181)	181	-
At end of year		1,815	2	3,222	3,863	181	9,083

Company statement of changes in equity (continued)

	Notes	Share capital Shs million	Capital redemption reserve Shs million	Revaluation reserves Shs million	Fair value reserve Shs million	Retained earnings Shs million	Proposed dividend Shs million	Total Shs million
Year ended 31 December 2001								
At start of year								
- as previously stated		1,815	2	3,222	-	3,863	181	9,083
- effect of adopting IAS 39		-	-	-	(73)	-	-	(73)
- as restated		1,815	2	3,222	(73)	3,863	181	9,010
Revaluation of land and buildings, plant and machinery		-	-	563	-	-	-	563
Deferred tax on revaluation surplus		-	-	(169)	-	-	-	(169)
Depreciation transfer		-	-	(227)	-	227	-	-
Deferred tax on depreciation transfer		-	-	68	-	(68)	-	-
Revaluation surplus released on disposal		-	-	(2)	-	2	-	-
Deferred tax on disposals		-	-	1	-	(1)	-	-
Fair value gain		-	-	-	59	-	-	59
Net gains/(losses) not recognised in income statement		-	-	234	59	160	-	453
Net profit after tax		-	-	-	-	643	-	643
Dividends:								
-final for 2000	7	-	-	-	-	-	(181)	(181)
-interim for 2001	7	-	-	-	-	(136)	-	(136)
-proposed final for 2001	7	-	-	-	-	(272)	272	-
At end of year		1,815	2	3,456	(14)	4,258	272	9,789

Consolidated cash flow statement

	Notes	2001 Shs million	2000 Shs million
Operating activities			
Cash generated from operations	25	2,479	1,149
Interest received		2	5
Interest paid		(217)	(269)
Tax paid		(285)	(363)
Net cash from operating activities		1,979	522
Investing activities			
Purchase of property, plant and equipment and capital work in progress		(637)	(836)
Purchase of investments	17	-	(192)
Proceeds from disposals of property, plant and equipment		9	8
Net cash used in investing activities		(628)	(1,020)
Financing activities			
Proceeds from long-term borrowings		-	501
Proceeds from short term borrowings		-	78
Dividends paid to group shareholders		(317)	(272)
Dividends paid to minority shareholders		-	(151)
Dividends received		11	-
Repayments of borrowings from minority shareholders		(140)	-
Repayments of bank borrowings		(595)	(35)
Net cash (used in)/generated from financing activities		(1,041)	121
Increase/(decrease) in cash and cash equivalents		310	(377)
Movement in cash and cash equivalents			
At start of year	21	(447)	(70)
Increase/(decrease)		310	(377)
Effects of exchange rate changes on cash and cash equivalents		(31)	-
At end of year	21	(168)	(447)

Accounting Policies

The principal accounting policies adopted in the preparation of these financial statements are set out below:

a) Basis of preparation

The financial statements are prepared in accordance with and comply with International Accounting Standards. The financial statements are presented in Kenya Shillings (Shs) and prepared under the historical cost convention as modified by the revaluation of certain property, plant and equipment, and the carrying of available-for-sale investments at fair values.

b) Consolidation

Subsidiary undertakings, which are those companies in which the Group, directly or indirectly, has an interest of more than one half of the voting rights or otherwise has power to exercise control over the operations, are consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the Group and consolidation ceases from the date of disposal. All intercompany transactions, balances and unrealised gains on transactions between group companies are eliminated; losses are also eliminated unless cost cannot be recovered. Where necessary, accounting policies for subsidiaries have been changed to ensure consistency with the policies adopted by the Group.

The income statements of subsidiaries are translated at average exchange rates for the year and balance sheets at the year end rates. The resulting differences from translation are dealt with in the translation reserve. All intercompany transactions, balances and unrealised surpluses and deficits on transactions between group companies have been eliminated.

A listing of the Group's subsidiaries is set out in Note 16.

c) Revenue recognition

Sales are recognised upon delivery of products to customers and performance of services, and are stated net of VAT and discounts, and after eliminating sales within the Group.

Interest income is recognised as it accrues, unless its collectibility is in doubt. Dividends are recognised as income in the period in which they are declared.

d) Translation of foreign currencies

Transactions in foreign currencies during the year are converted into Kenya Shillings at rates ruling at the transaction dates. Assets and liabilities at the balance sheet date which are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at that date. The resulting differences from conversion and translation are dealt with in the profit and loss account in the year in which they arise.

e) Investments

The company adopted IAS 39 at 1 January 2001 and classified its investments into available-for-sale investments and originated loans. Management determines the appropriate classification of its investments at the time of the purchase and re-evaluates such designations on a regular basis as follows:

(i) Investments intended to be held for an indefinite period of time, but which may be sold in response to needs for liquidity or changes in interest rates, are classified as available-for-sale. These are included in non-current assets unless management has the express intention of holding the investment for less than 12 months from the balance sheet date or unless they will need to be sold to raise operating capital.

(ii) Non-equity investments purchased in the primary market (i.e. directly from the issuer) are classified as originated loans.

Accounting Policies (continued)

e) Investments (continued)

All purchases and sales of investments are recognised on the trade date, which is the date the company commits to purchase or sell the asset. Cost of purchase includes transaction costs. Available-for-sale investments are subsequently carried at fair value, whilst originated loans are carried at amortised cost using the effective yield method. Unrealised gains and losses arising from changes in the fair value of available-for-sale investments are included in a separate reserve in equity. On disposal the whole of the realised gain or loss is recognised in the profit and loss account.

Prior to the adoption of IAS 39 the company had recorded its marketable securities at cost less provision for permanent diminution in value.

f) Property, plant and equipment

All property, plant and equipment is initially recorded at cost. Land, buildings, plant and machinery are subsequently shown at market value, based on valuations by external independent valuers, less subsequent depreciation. The valuations are carried out approximately every five years. All other property, plant and equipment is stated at historical cost less depreciation.

Increases in the carrying amount arising on revaluation are credited to a revaluation reserve. Decreases that offset previous increases of the same asset are charged against the revaluation reserve; all other decreases are charged to the profit and loss account. Each year the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to the profit and loss account) and depreciation based on the asset's original cost is transferred from the revaluation reserve to retained earnings.

Depreciation is calculated on the straight line basis to write down the cost of each asset, or the revalued amount, to its residual value over its estimated useful life as follows:

Leasehold land	Period of lease
Buildings, plant and machinery	2.5% - 5%
Equipment and mobile plant	10% - 33.3%

Freehold land is not depreciated as it is deemed to have an indefinite life.

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amount and are taken into account in determining operating profit. On disposal of revalued assets, amounts in the revaluation reserve relating to those assets are transferred to retained earnings.

g) Goodwill

Goodwill arising on consolidation is amortised over a 10 year period.

h) Inventories

Inventories of consumables and spare parts are stated at cost less provision for obsolete and slow moving items. All other inventories are stated at the lower of cost and net realisable value. Cost includes direct cost and appropriate overheads.

i) Trade receivables

Trade receivables are carried at amortised invoice amount less an estimate made for doubtful receivables based on a review of all outstanding amounts at the year end. Bad debts are written off in the year in which they are identified.

Accounting Policies (continued

j) Employee entitlements

Employee entitlements to long service awards are recognised when they accrue to employees. A provision is made for the estimated liability for long-service awards as a result of services rendered by employees up to the balance sheet date.

The estimated monetary liability for employees' accrued leave entitlement at the balance sheet date is recognised as an expense accrual.

k) Deferred tax

Deferred tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Tax rates enacted or substantively enacted at the balance sheet date are used to determine deferred tax.

Deferred tax assets are recognised for tax losses carried forward only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

l) Retirement benefit obligations

The group operates a defined contribution pension scheme for eligible non-unionisable employees. The scheme is administered by an investment management company and is funded by contributions from both the company and employees.

The group's contributions to the defined contribution scheme are charged to the profit and loss account in the year to which they relate.

The group's unionisable staff who retire on attaining the age of 55 years or are declared redundant are eligible for a service gratuity based on each employee's length of service with the group, as provided for in the trade union agreement. The service gratuity expense is provided for in the accounts as it accrues to each employee.

m) Restructuring provisions

Restructuring provisions mainly comprise employee termination payments and are recognised in the period in which the company becomes legally or constructively committed to payment. Employee termination benefits are recognised only after either an agreement is in place with the appropriate employee representatives specifying the terms of redundancy and numbers of employees affected, or after individual employees have been advised of the specific terms. Costs related to the ongoing activities of the company are not provided in advance.

n) Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared.

o) Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year. In particular, the comparatives have been adjusted or extended to take into account the requirements of IAS 39, which the company has implemented in the year.

Notes forming part of the financial statements

1 Segment information

The group is organised on a regional basis into two main geographical segments:

- Kenya
- Uganda

Both geographical segments are involved in cement manufacturing and selling only. Hence the primary reporting format below is the only one presented.

Year ended 31 December 2001	**Kenya Shs million**	**Uganda Shs million**	**Group Shs million**
Revenues	6,453	2,441	8,894
Operating profit	1,023	534	1,557
Segment assets	11,622	3,608	15,230
Non-segment assets			367
Total assets			15,597
Segment liabilities	1,303	845	2,148
Non-segment liabilities			3,031
Total liabilities			5,179
Year ended 31 December 2000			
Revenues	5,790	1,920	7,710
Operating profit	384	504	888
Segment assets	11,304	2,416	13,720
Non-segment assets			417
Total assets			14,137
Segment liabilities	2,598	626	3,224
Non-segment liabilities			1,932
Total liabilities			5,156

There are no sales or other transactions between the business segments. Segment assets consist primarily of property, plant and equipment, intangible assets, inventories, receivables and operating cash, and mainly exclude investments. Segment liabilities comprise operating liabilities and exclude items such as taxation, dividend payable and certain corporate borrowings.

Sales revenue is based on the country in which the production facility is located. Total assets are shown by the geographical area in which the assets are located.

Notes forming part of the financial statements (continued)

2 Operating profit

The following items have been charged in arriving at operating profit:

	GROUP	
	2001	**2000**
	Shs million	**Shs million**
Depreciation on property, plant and equipment (Note 14)	703	744
Amortisation of goodwill (Note 18)	50	50
Auditors' remuneration	6	6

3 Staff costs

The following items are included within staff costs:

Social security costs	10	14
Pension costs – defined contribution plans	31	23
Service gratuity	34	8

The number of persons employed by the group at the year end was:	**2001**	**2000**
	Number	**Number**
Full time	1,006	1,113
Casuals	362	464
	1,368	1,577

4 Finance costs/income

	2001	**2000**
	Shs million	**Shs million**
Interest income	2	5
Dividend income	4	-
Net foreign exchange gains/(losses)	15	(115)
Interest expense	(217)	(269)
Bank charges	(21)	(22)
	(217)	(401)

Notes forming part of the financial statements (continued)

5 Tax

	GROUP 2001 Shs million	GROUP 2000 Shs million
Current tax	362	151
Deferred tax (Note 12)	191	(17)
Over provision in prior years	-	(17)
Tax charge	553	117

The tax on the group profit before tax differs from the theoretical amount that would arise using the basic tax rate as follows:

	GROUP 2001 Shs million	GROUP 2000 Shs million
Profit before tax	1,340	487
Tax calculated at the domestic rates applicable to profits in the country concerned	402	146
Tax effect of:		
Income not subject to tax	(2)	(45)
Expenses not deductible for tax purposes	76	33
Under/(over) provision in prior years	77	(17)
Tax charge	553	117

6 Earnings per share

Basic earnings per share is calculated by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

	2001	2000
Net profit attributable to shareholders (Shs million)	731	289
Weighted average number of ordinary shares (million)	363	363
Basic earnings per share (Shs)	2.01	0.80

There were no potentially dilutive shares outstanding at 31 December 2001 or 31 December 2000.

7 Dividends per share

Proposed dividends are accounted for as a separate component of equity until they have been ratified at an annual general meeting. At the annual general meeting to be held on 3 May 2002, a final dividend in respect of the year ended 31 December 2001 of Shs 0.75 per share amounting to a total of Shs 272 million is to be proposed. During the year an interim dividend of Shs 0.37 per share, amounting to a total of Shs 136 million was paid. The total dividend for the year is therefore Shs 1.12 per share (2000: Shs 0.75 per share), amounting to a total of Shs 408 million (2000: Shs 272 million).

Payment of dividends is subject to withholding tax at a rate of 10% for non resident shareholders and 5% for resident shareholders.

Notes forming part of the financial statements (continued)

8 Share capital

	2001 Shs million	2000 Shs million
Authorised		
366,600,000 ordinary shares of Shs 5 each	1,833	1,833
100,000 7% cumulative redeemable preference shares of Shs 20 each	2	2
	1,835	1,835
Issued and fully paid		
362,950,925 (2000: 362,950,925) ordinary shares of Shs 5 each	1,815	1,815

9 Revaluation reserves

The movements in the reserves relate solely to property, plant and equipment. The revaluation reserves are non-distributable.

10 Minority interest

	2001 Shs million	2000 Shs million
At start of year	196	261
Share of profit	56	81
Dividends paid	-	(151)
Share of revaluation surplus	282	-
	534	191
Translation (loss)/gain	(16)	5
At end of year	518	196

11 Borrowings

	GROUP		COMPANY	
	2001 Shs million	2000 Shs million	2001 Shs million	2000 Shs million
The borrowings are made up as follows:				
Non-current				
Bank loan	235	923	235	688
Loan from minority shareholder	122	262	-	-
	357	1,185	235	688
Current				
Bank overdraft	500	860	50	663
Bank loan	171	78	114	78
	671	938	164	741
Total borrowings	1,028	2,123	399	1,429

Notes forming part of the financial statements (continued)

11 Borrowings (continued)

Part of the borrowings are secured by charges over certain assets of the company.

Weighted average interest rates at year end were:

	GROUP	COMPANY
– bank overdrafts - local currencies	14%	11%
– bank loans - US Dollar	4%	4%
– bank loans - local currencies	13%	13%
- loan from minority shareholders – US Dollar	11%	11%

In the opinion of directors the carrying amounts approximate to fair value. Fair values are based on discounted cash flows using a discount rate based upon the borrowing rate that directors expect would be available to the group at the balance sheet date.

	GROUP		COMPANY	
	2001 Shs million	2000 Shs million	2001 Shs million	2000 Shs million
Maturity of non current borrowings:				
Between 1 and 2 years	357	1,185	235	688

Borrowing facilities

The group has the following undrawn committed borrowing facilities:

	GROUP		COMPANY	
	2001 Shs million	2000 Shs million	2001 Shs million	2000 Shs million
Floating rate				
– expiring within one year	1,048	348	1,013	301
– expiring beyond one year	-	-	-	-
	1,048	348	1,013	301

The facilities expiring within one year are annual facilities subject to review at various dates during the year 2002.

The borrowing facilities consist of cash, letters of credit and guarantees. At the year end Shs 208 million (2000: Shs 307 million) related to guarantees given on behalf of the company by its bankers to third parties in the normal course of business.

Notes forming part of the financial statements (continued)

12 Deferred tax

Deferred taxes are calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30% (2000: 30%). The movement on the deferred tax account is as follows:

	GROUP		COMPANY	
	2001 Shs million	2000 Shs million	2001 Shs million	2000 Shs million
At start of year	1,736	1,616	1,762	1,634
Underprovision in prior years	-	137	-	137
Income statement charge/(credit) (Note 5)	191	(17)	21	(9)
Asset revaluation effect	586	-	169	-
At end of year	2,513	1,736	1,952	1,762

Deferred tax assets and liabilities, deferred tax charge/(credit) in the profit and loss account, and deferred tax charge/(credit) in equity are attributable to the following items:

GROUP	1.1.01 Shs million	Charged/ (credited) to P/L Shs million	Charged/ (credited) to equity Shs million	31.12.01 Shs million
Deferred tax liabilities				
Property, plant and equipment				
- on historical cost basis	627	244	-	871
- on revaluation surplus	1,264	(83)	586	1,767
Unrealised exchange gains	29	(17)	-	12
	1,920	144	586	2,650
Deferred tax assets				
Provisions	(65)	(13)	-	(78)
Other deductible temporary differences	(119)	60	-	(59)
	(184)	47	-	(137)
Net deferred tax liability	1,736	191	586	2,513

COMPANY				
Deferred tax liabilities				
Property, plant and equipment				
- on historical cost basis	529	110	-	639
- on revaluation surplus	1,264	(68)	169	1,365
Unrealised exchange gains	29	(17)	-	12
	1,822	25	169	2,016

Notes forming part of the financial statements (continued)

12 Deferred tax (continued)

Deferred tax assets				
Provisions	(53)	(7)	-	(60)
Other deductible temporary differences	(7)	3	-	(4)
	(60)	(4)	-	(64)
Net deferred tax liability	1,762	21	169	1,952

In addition, deferred tax for the group of Shs 83 million (2000: Shs 110 million) and for the company of Shs 68 million (2000: Shs 110 million) was transferred within shareholders' equity from revaluation reserves to retained earnings. This represents deferred tax on the difference between the actual depreciation on the property, plant and equipment and the equivalent depreciation based on the historical cost of the property, plant and equipment.

13 Provisions for liabilities and charges

GROUP	**Service gratuity**	**Long service awards**	**Restructuring provision**	**Total**
	Shs million	**Shs million**	**Shs million**	**Shs million**
At start of year	151	9	-	160
Additional provisions	34	-	65	99
Utilised during the year	(13)	(1)	(50)	(64)
At end of year	172	8	15	195
Less: current portion	-	-	15	15
Non current portion	172	8	-	180
COMPANY				
At start of year	141	9	-	150
Additional provisions	32	-	35	67
Utilised during the year	(11)	(1)	(20)	(32)
At end of year	162	8	15	185
Less: current portion	-	-	15	15
Non-current portion	162	8	-	170

Notes forming part of the financial statements (continued)

13 Provisions for liabilities and charges (continued)

Restructuring expenses:

Restructuring expenses primarily relate to terminal benefits for employees made redundant due to automation of cement production and the continuing reorganisation of the group.

14 Property, plant and equipment

	Land & residential buildings Shs million	Plant & machinery Shs million	Office equipment and tools Shs million	Mobile plant Shs million	Total Shs million
GROUP					
Cost or valuation					
At start of year	1,657	16,941	600	1,034	20,232
Revaluation	291	(7,636)	-	-	(7,345)
Exchange differences	-	(2)	-	-	(2)
Group additions	25	621	155	76	877
Disposals	-	(2)	(2)	(103)	(107)
At end of year	1,973	9,922	753	1,007	13,655
Depreciation					
At start of year	132	9,237	318	725	10,412
Revaluation	(77)	(9,221)	-	-	(9,298)
Exchange differences	(1)	(2)	(1)	-	(4)
Charge for the year	43	476	101	83	703
On disposals	-	-	(2)	(102)	(104)
At end of year	97	490	416	706	1,709
Net book amount					
At 31 December 2001	1,876	9,432	337	301	11,946
At 31 December 2000	1,525	7,704	282	309	9,820

Notes forming part of the financial statements (continued)

14 Property, plant and equipment (continued)

	Land & residential buildings Shs million	Plant & machinery Shs million	Office equipment and tools Shs million	Mobile plant Shs million	Total Shs million
COMPANY					
Cost or valuation					
At start of year	1,233	15,745	498	920	18,396
Revaluation	(11)	(8,541)	-	-	(8,552)
Additions	19	486	84	60	649
Disposals	-	-	(2)	(102)	(104)
At end of year	1,241	7,690	580	878	10,389
Depreciation					
At start of year	67	9,047	288	693	10,095
Revaluation	(67)	(9,047)	-	-	(9,114)
Charge for the year	16	388	73	64	541
On disposals	-	-	(2)	(100)	(102)
At end of year	16	388	359	657	1,420
Net book amount					
At 31 December 2001	1,225	7,302	221	221	8,969
At 31 December 2000	1,166	6,698	210	227	8,301

The Group's land, buildings, plant, and machinery were revalued on 1 January 2001. Land and buildings were valued by independent valuers. The valuation of plant and machinery was carried out by engineers and consultants of a related company.

Land and buildings were revalued on the basis of market value for existing use. Plant and machinery were revalued on a depreciated replacement cost basis. The revaluation surplus, net of the applicable deferred income taxes was credited to the revaluation reserve in shareholders' equity.

Notes forming part of the financial statements (continued)

14 Property, plant and equipment (continued)

If the property, plant and equipment were stated on the historical cost basis, the amounts would be as follows:

	GROUP		COMPANY	
	2001 Shs million	2000 Shs million	2001 Shs million	2000 Shs million
Cost	8,092	7,209	5,974	5,368
Accumulated depreciation	(2,308)	(1,875)	(1,826)	(1,553)
Net book amount	5,784	5,334	4,148	3,815

Bank borrowings are secured on properties to the value of Shs 1,114 million.

15 Capital work in progress

Capital work in progress relates primarily to plant modifications in progress at year end. No depreciation has been charged on these assets.

16 Investments in subsidiaries

The following is a listing of the subsidiaries:

		GROUP		COMPANY	
	Holding %	2001 Shs million	2000 Shs million	2001 Shs million	2000 Shs million
Simbarite Limited	100	-	-	53	53
Less:impairment provision		-	-	(22)	(22)
		-	-	31	31
Bamburi Special Products Limited	100	-	-	20	20
Bamburi Cement Limited, Uganda	100	-	-	-	-
Himcem Holdings Limited, Channel Islands	100	-	-	911	911
Baobab Farm Limited	100	-	-	5	5
Diani Estate Limited	100	1	1	1	1
Whistling Pines Limited	100	1	4	-	-
Kenya Cement Marketing Limited	50	-	-	-	-
Portland Mines Limited	50	-	-	-	-
Seruji Management Limited, Channel Islands	100	-	-	-	-
		2	5	968	968

Except where indicated above, the subsidiaries are incorporated in Kenya.

Notes forming part of the financial statements (continued)

16 Investments in subsidiaries (continued)

Himcem Holdings Limited has a 70% holding in its subsidiary, Hima Cement Limited, incorporated in Uganda.

The accounts of Diani Estate Limited, Kenya Cement Marketing Limited, Portland Mines Limited, Whistling Pines Limited and Seruji Management Limited have not been consolidated because in the directors' opinion, consolidation of these subsidiaries would be of no real value to the members in view of the insignificant amounts involved.

17 Other equity investments

	2001 Shs million	**2000 Shs million**
Available-for-sale investments		
- Quoted equity shares	373	202
- Convertible bond	-	192
	373	394

The bond was converted in May 2001 to ordinary shares.

Available-for-sale investments are fair valued annually at the close of business on 31 December. For investments traded in active markets, fair value is determined by reference to Stock Exchange quoted bid prices. For other investments, fair value is estimated by reference to the current market of similar instruments or by reference to the discounted cash flows of the underlying net assets.

The market value of the quoted equity shares at 31 December 2001 was Shs 215 million. However, the directors are of the opinion that since small volumes are traded relative to the number of shares held by the company the quoted prices are not indicative of the fair value of the shares and have therefore adopted a different methodology in fair valuing these investments. This method is based on a value per tonne of capacity of the cement plants of the companies in which the group has invested.

The movement in available-for-sale investments is as follows:

	2001 Shs million	**2000 Shs million**
At start of year	394	202
Additions	-	192
Dividends received out of pre-acquisition profits	(7)	-
Fair value losses	(14)	-
	373	394

Prior to the adoption of IAS 39 the company had recorded its marketable securities at cost less provision for permanent diminution in value. Following the adoption of IAS 39 on 1 January 2001, fair value gains/losses on available-for-sale investments are included in a separate reserve in equity. In accordance with IAS 39, the movement in reserves for the year ended 31 December 2000 are not restated.

Notes forming part of the financial statements (continued)

18 Goodwill

	GROUP 2001 Shs million	GROUP 2000 Shs million
At start of year	503	503
Amortisation		
At start of year	86	36
Charge for the year	50	50
At end of year	136	86
Net carrying value	367	417

19 Inventories

	GROUP 2001 Shs million	GROUP 2000 Shs million	COMPANY 2001 Shs million	COMPANY 2000 Shs million
Raw materials	313	344	191	165
Consumables and spare parts	952	876	725	652
Finished goods	166	105	139	76
Fuel and packaging	169	199	158	174
Other	2	2	-	-
	1,602	1,526	1,213	1,067

Consumables and spare parts are carried at cost less a provision for obsolete and slow moving items. All other inventories are carried at cost.

20 Receivables and prepayments

	GROUP 2001 Shs million	GROUP 2000 Shs million	COMPANY 2001 Shs million	COMPANY 2000 Shs million
Trade receivables	648	747	366	429
Less: provision for doubtful debts	(130)	(59)	(89)	(34)
	518	688	277	395
Other receivables and prepayments	146	322	106	280
Receivables from related companies (Note 26)	91	117	461	691
	755	1,127	844	1,366

Notes forming part of the financial statements (continued)

21 Cash and cash equivalents

	GROUP		COMPANY	
	2001	**2000**	**2001**	**2000**
	Shs million	**Shs million**	**Shs million**	**Shs million**
Cash at bank and in hand	331	341	253	32
Short term bank deposits	1	72	-	68
	332	413	253	100

The weighted average effective interest rate on short-term bank deposits at the year-end was 5% (2000: 3%).

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand, deposits held at call with banks and investments in money market instruments, net of bank overdrafts. In the balance sheet, bank overdrafts are included in borrowings in current liabilities. The year-end cash and cash equivalents comprise the following:

	GROUP	
	2001	**2000**
	Shs million	**Shs million**
Cash and bank balances above	332	413
Bank overdrafts (Note 11)	(500)	(860)
	(168)	(447)

22 Payables and accrued expenses

	GROUP		COMPANY	
	2001	**2000**	**2001**	**2000**
	Shs million	**Shs million**	**Shs million**	**Shs million**
Trade payables	428	577	259	455
Other creditors and accrued expenses	380	339	306	202
Amounts due to related companies (Note 26)	13	23	5	26
	821	939	570	683

Notes forming part of the financial statements (continued)

23 Contingent liabilities

At 31 December 2001 the group had given guarantees amounting to Shs 31 million (2000: Shs 31 million) on behalf of third parties.

24 Commitments

Capital commitments

Capital expenditure contracted for at the balance sheet date but not recognised in the financial statements is as follows:

	2001 Shs million	2000 Shs million
Property, plant and equipment	69	89

25 Cash generated from operations

Reconciliation of profit before tax to cash generated from operations:

	GROUP	
	2001 Shs million	2000 Shs million
Profit before tax	1,340	487
Adjustments for:		
Depreciation (Note 14)	703	744
Gain on sale of property, plant and equipment	(6)	2
Interest income (Note 4)	(2)	(5)
Dividend income (Note 4)	(4)	-
Interest expense (Note 4)	217	269
Service gratuity provision	29	7
Provision for permanent diminution of an investment	3	1
Amortisation of goodwill (Note 18)	50	50
Unrealised exchange (gains)/losses	(34)	101
Changes in working capital		
– receivables and prepayments	352	27
– inventories	(76)	(88)
– payables and accrued expenses	(108)	(381)
– provisions for liabilities and charges	5	4
- net amounts due from related parties	10	(69)
Cash generated from operations	2,479	1,149

Notes forming part of the financial statements (continued)

26 Related party transactions

The group is controlled by Bamcem Holdings Limited, incorporated in the Channel Islands. The ultimate parent of the group is Lafarge SA, incorporated in France. There are other companies which are related to Bamburi Cement Limited through common shareholdings or common directorship.

In the normal course of business the group sells cement to an associate of its ultimate shareholder. These sales represented approximately 4% of the group's sales volume during the year (2000: 7%).

The company receives technical assistance from an associate of the ultimate shareholder, which is paid for under a 5 year agreement.

The following transactions were carried out with related parties:

	GROUP	
	2001 Shs million	2000 Shs million
Sales of goods and services	389	533
Purchases of goods and services	107	83

Sales and purchases to/from related parties were made at terms and conditions similar to those offered to major customers.

Outstanding balances arising from sale and purchase of goods/services

	GROUP		COMPANY	
	2001 Shs million	2000 Shs million	2001 Shs million	2000 Shs million
Receivables from related parties	91	117	84	101
Receivables from subsidiaries	-	-	377	590
	91	117	461	691
Payables to related parties	13	23	5	26

Loans to directors

	GROUP		COMPANY	
	2001 Shs million	2000 Shs million	2001 Shs million	2000 Shs million
At start of year	4	6	4	6
Loans advanced during the year	-	-	-	-
Loan repayments received	(2)	(2)	(2)	(2)
At end of year	2	4	2	4

Notes forming part of the financial statements (continued)

26 Related party transactions (continued)

Loans to directors are on terms similar to those applicable to other employees. The above amounts are included in other receivables.

Directors' remuneration:	**2001 Shs million**	**2000 Shs million**
- Fees	6	4
- Other	49	49

---------- 000 ----------